ZOMATO

Menu Intelligence & Portfolio Strategy

Executive Action Plan – Detailed Strategic Recommendations

1. Scale Winning Products Instead of Expanding the Entire Portfolio ■■■■■

Evidence

• Volume Drivers generate the majority of customer engagement.

• Signature Products consistently outperform the rest of the portfolio.

• A relatively small proportion of products creates most of the business value.

Recommendation

Prioritize the expansion of proven Volume Drivers and Signature Products across additional restaurants and cities instead of continuously introducing new menu items. Concentrating investment on validated winners is likely to generate higher returns than broad portfolio expansion.

Business Impact

• Higher customer engagement

• Better marketing ROI

• Faster revenue growth

2. Rationalize the Dormant Portfolio ■■■■■

Evidence

• Dormant Core is the largest inactive segment.

• Dormant Premium contains expensive products with little engagement.

• Ratings alone do not translate into commercial success.

Recommendation

Systematically review and remove or redesign low-engagement menu items, beginning with Dormant Core and Dormant Premium products. Replacing inactive products with proven performers can improve menu efficiency and reduce operational complexity.

Business Impact

• Reduced operational costs

• Simplified menus
• Higher average menu productivity

3. Adopt a Dual Portfolio Growth Strategy ■■■■■

Evidence

The portfolio naturally separates into two successful growth engines:
• Volume Drivers
• Premium Winners

Recommendation

Maintain two complementary growth strategies: expand affordable Volume Drivers to maximize customer reach while selectively investing in Premium Winners to improve profitability and strengthen brand positioning.

Business Impact

• Balanced revenue growth
• Improved profitability
• Stronger market positioning

4. Replace National Standardization with City-Specific Strategies ■■■■■

Evidence

• Hyderabad behaves differently from Jaipur.
• Bangalore differs from Kolkata.
• Premium adoption varies significantly by city.

Recommendation

Replace uniform national menu strategies with city-specific portfolio planning. Tailor pricing, promotions, premium offerings, and menu composition according to local customer demand and engagement patterns.

Business Impact

• Better product-market fit
• Higher customer engagement
• More effective marketing spend

5. Use Hyderabad as the Primary Innovation & Launch Market ■■■■■

Evidence

Hyderabad consistently leads in customer engagement, restaurant performance, Premium Winners, Volume Drivers and restaurant efficiency.

Recommendation

Position Hyderabad as the primary pilot market for new menu launches, premium products, and promotional campaigns before rolling them out nationally.

Business Impact

• Lower rollout risk
• Faster validation
• Better innovation success rates

6. Expand Premium Selectively, Not Universally ■■■■■

Evidence

Premium demand is concentrated. Strongest cities: Hyderabad, Bangalore, Mumbai and Kolkata. Premium succeeds only in specific categories.

Recommendation

Expand premium offerings only in markets and product categories where customer engagement and willingness to pay have already been demonstrated. Avoid blanket premium expansion across all regions.

Business Impact

• Higher premium adoption
• Better pricing efficiency
• Improved margins

7. Build Around High-Performing Local Restaurant Partners ■■■■■

Evidence

Top performers include Bawarchi, Mehfil, Lucky Restaurant and Meghana Foods rather than national chains.

Recommendation

Strengthen partnerships with consistently high-performing local restaurant brands and replicate their operational practices across the platform. Local market leaders demonstrate stronger customer engagement than many national chains.

Business Impact

• Improved customer satisfaction
• Stronger regional positioning
• Higher platform loyalty

8. Optimize Menus for Focus Rather Than Size ■■■■■

Evidence

Top-performing restaurants maintain focused menus, deliver high ratings and generate strong engagement. Large menus do not consistently outperform.

Recommendation

Encourage restaurant partners to maintain focused, high-performing menus rather than expanding product assortment indiscriminately. A streamlined menu improves operational efficiency and highlights proven customer favorites.

Business Impact

• Faster kitchen operations
• Better customer choice
• Improved order conversion

9. Strengthen Customer Trust Through Consistent Service Quality ■■■■■

Evidence

Top restaurants consistently maintain Dining Rating > 4 and Delivery Rating > 4.

Recommendation

Prioritize operational excellence by encouraging restaurant partners to sustain high dining and delivery standards. Consistent service quality is a defining characteristic of the highest-engagement restaurants.

Business Impact

• Better retention
• Higher repeat orders
• Stronger platform reputation

10. Shift from Descriptive Reporting to Continuous Portfolio Management ■■■■■

Evidence

The dashboard demonstrates that products mature through a lifecycle, cities differ, premium adoption varies and dormant products accumulate over time.

Recommendation

Adopt the Product Strategy framework (Volume Drivers, Premium Winners, Dormant Core and Dormant Premium) as an ongoing portfolio management model. Regularly monitor product performance, reclassify menu items and adjust investment decisions based on changing customer engagement rather than treating menu optimization as a one-time exercise.

Business Impact

• Continuous portfolio optimization
• Faster response to market changes
• Long-term sustainable growth

Final Executive Summary (The One-Minute Story)

Zomato's future growth should be driven by disciplined portfolio management rather than continuous menu expansion. The analysis shows that a small group of Volume Drivers and Premium Winners generates the majority of customer engagement, while a substantial dormant portfolio creates opportunities for rationalization. Growth should focus on scaling proven products, selectively expanding premium offerings, partnering with high-performing local restaurants, and adopting city-specific strategies that reflect regional demand. By managing the menu as a dynamic portfolio—continuously scaling winners, optimizing underperformers, and aligning investments with customer behavior—Zomato can improve engagement, operational efficiency, and long-term profitability.